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# Recovery In an Inflationary Environment

The World Bank projects that the global economy will expand by 5.6% in 2021. The recovery is likely to be uneven and largely reflects sharp rebounds in some major economies while activity in emerging and frontier market economies is likely to be negatively affected by the slow vaccine rollouts. In Kenya, the effects of the pandemic on the economy were reflected in the 2020 GDP figures where the economy contracted by 0.3% versus a 5.0% growth in 2019. The gradual reopening of the key sectors that had been negatively impacted by the pandemic will be key to a full recovery. The government has been gradually rolling out the COVID vaccines with close to 4.0 Million dosses administered and full vaccinations close to hitting 1.0 Million, by the end of 3Q21.

- **Economic activity:** Economic activity is expected to have increased in 3Q21 as indicated by the Stanbic Purchasing managers Index (PMI) which recorded an averaged growth of 50.7 compared to 48.3 averaged in 2Q21. Growth in 4Q21 is likely to be driven by the government driven economic recovery plan focusing more on key sectors such as agriculture, manufacturing and improving infrastructure across the country.

- **Inflationary Pressure:** In 3Q21, inflation gradually increased to 6.91% in September from 6.32% in June mainly driven by higher food and fuel prices. In 4Q21, the uptick in local food prices, rising global fuel prices, and the relatively higher tax rates are likely to exert upward pressure on headline inflation.

- **Accommodative monetary policy and widening fiscal deficit:** During the quarter, the MPC maintained the Central Bank Rate (CBR) at 7.0% while the cash reserve ratio was maintained at 4.25%.

- **Equity market:** In 4Q21, improved investor sentiment is likely to drive gains in the NSE. We expect increased interest in the Banking stocks as we expect Q3'2021 results to come in stronger on a year-on-year basis. The improving economic conditions will likely be reflected in the banks results as their loan books expand, asset quality improves, and provisions continue to decrease.

**October 22nd, 2021**

**Sovereign Credit Rating:**

**Moody's: B2 (negative)**

**Fitch: B+ (negative)**

**S&P: B+ (negative)**

| | |
|---|---|
| **GDP Growth (2020):** | -0.3% |
| **Sept Inflation:** | 6.91% |
| **Interbank rate:** | 4.48% |
| **C.B.R:** | 7.00% |

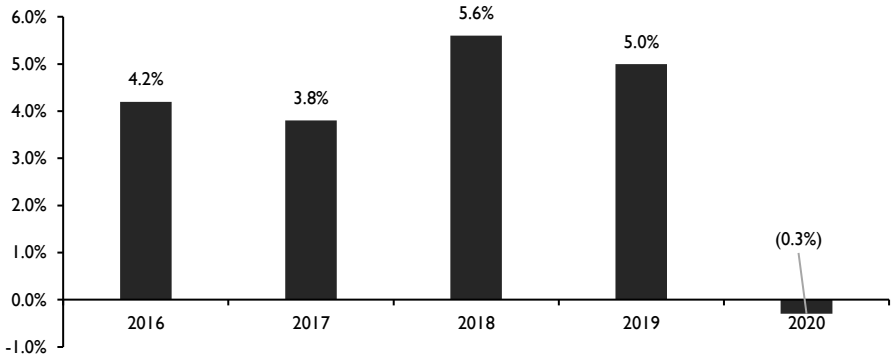

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## Economic Performance

- **Economic Activity -** The effect of the pandemic on the economy was reflected in the 2020 GDP figures as the economy contracted by 0.3% versus a 5.0% growth in 2019. The negative growth was mainly driven by dismal performances in the Accommodation & food services, Education, and Transport & storage sectors which were severely affected by the COVID 19 pandemic. The decline, however, was lessened by growth seen in the Agricultural, Construction, Real Estate and Financial services sectors.

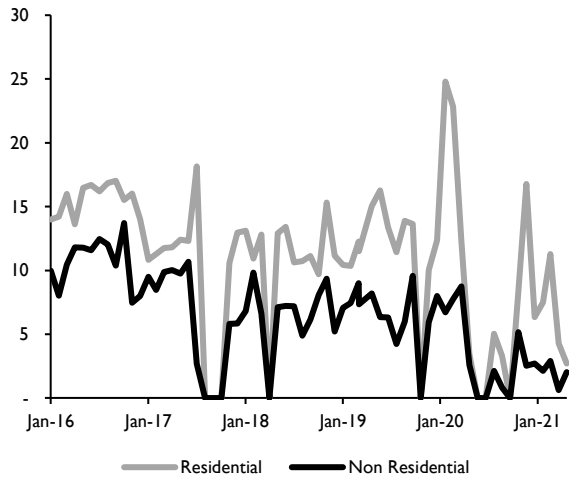
Graph 1: GDP Growth



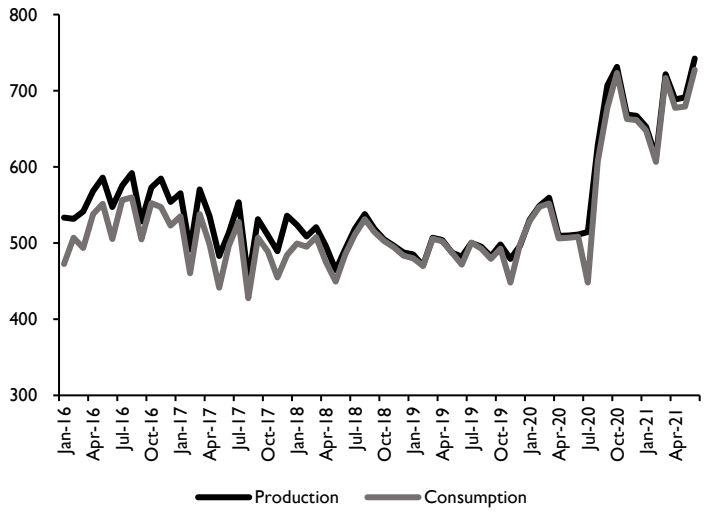

Source: KNBS

- **Improved growth in 3Q21:** Economic activity is expected to have increased in 3Q21 as indicated by the Stanbic Purchasing managers Index (PMI) which recorded an averaged growth of 50.7 compared to 48.3 averaged in 2Q21. Fears of another round of lockdown restrictions eased in Q3 as the number of new infections reduced. The procurement of various brands of vaccines aided in increasing the vaccine rate. According to a survey by the CBK, business owners grew more positive during the quarter, and it is expected to persist until the end of the year.

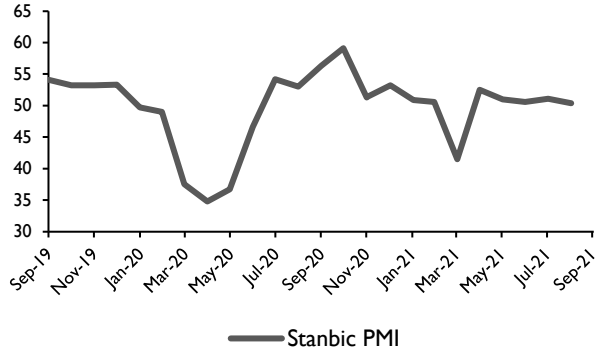
Graph 2: Value of Buildings Approved



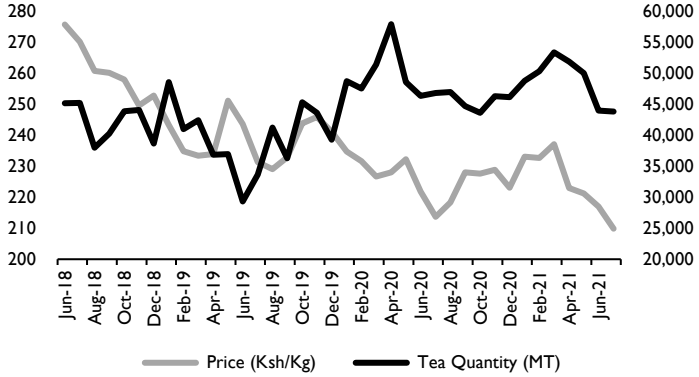

Graph 3: Cement Consumption



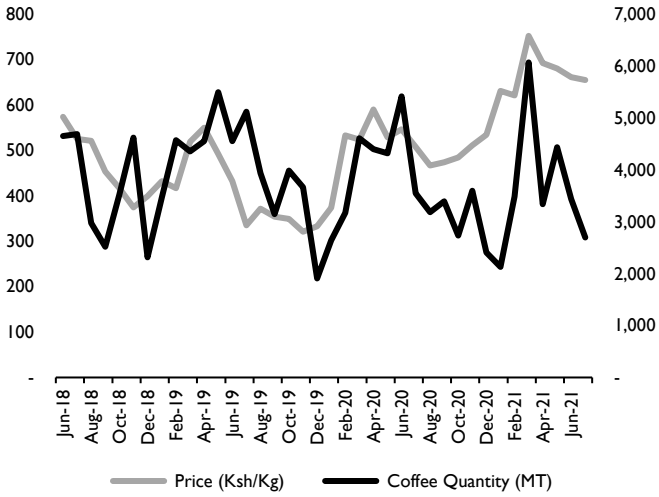
Graph 4: Stanbic PMI



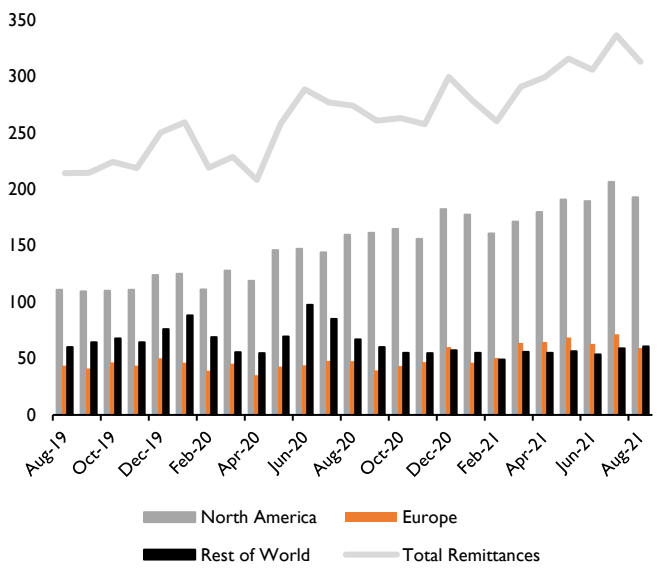

Graph 5: Tea




Graph 6: Coffee




Graph 7: Diaspora Remittance




Source: KNBS, AIB-AXYS Research

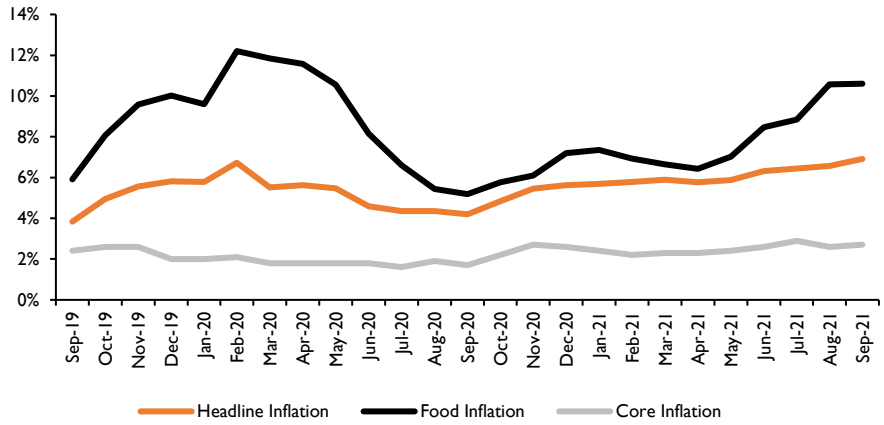
- **Sustained Economic growth in 4Q21-** We anticipate a pick-up in economic activity in the last quarter of the year as more sectors of the economy open and vaccination rates increase. The reduction of the COVID-19 positivity rates and the positive outlook surrounding the business environment will drive key economic sectors such as agriculture, manufacturing, tourism, education and healthcare.

- **Economic growth Outlook:** We remain positive about Kenya's growth prospects as we expect the overall 2021 GDP growth to increase to 4%. We are, however, concerned about the widening budget deficit, increasing debt levels, rising inflation rate on the back of high fuel prices and tax. The government expects a faster recovery projecting that the economy will grow at 6.2% in 2021, higher than the World Bank's and IMF's projections of 4.5% and 5.6% respectively.

## Inflation

- **Elevated inflationary pressure -** In 3Q21, inflation gradually increased to 6.91% in September from 6.32% in June. The rise in inflation was mainly driven by higher food and fuel prices. Food inflation increased to 10.6% in 3Q21 from 8.46% in 2Q21 attributed to unfavorable weather conditions. Meanwhile, core inflation marginally increased to 2.7% from 2.6% as consumer demand increased.

Graph 8: Inflation




Source: KNBS, AIB-AXYS Research

- **Rising crude oil prices:** Global oil prices have maintained their upward trajectory as demand increases causing supply pressures on the fuel prices. We expect the prices to remain elevated during the last quarter of the year as OPEC+ members agreed to maintain the gradual 400,000 bpd monthly increase.

Graph 9: Brent Crude Prices (USD)

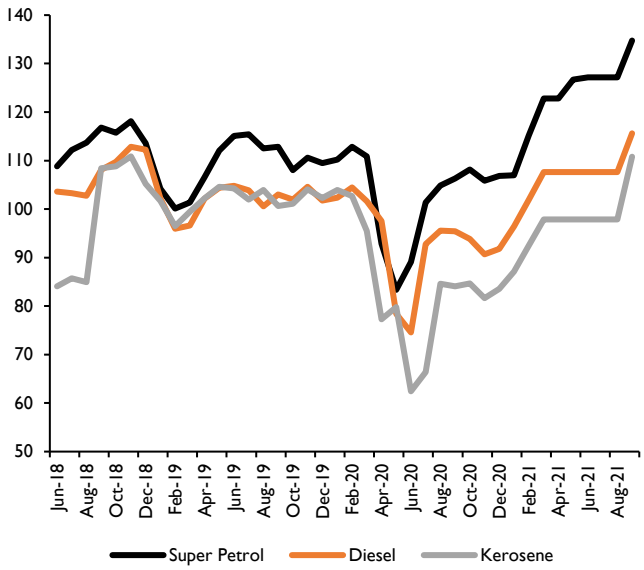



Source: Bloomberg

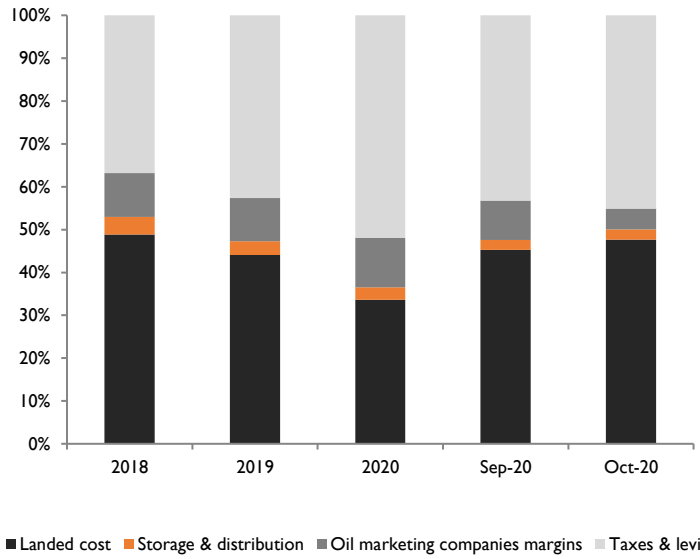
- **Local pump prices continue to rise:** During the quarter, local pump prices increased in line with the rise in global crude oil prices. The September review saw the largest increase as the prices of petrol, diesel and kerosene increased by KES 7.58, 7.94 and 12.97 per liter, respectively. The sharp increase was attributable to the government withdrawing the subsidy which was in place in the previous five months, cushioning consumers from the rising global oil prices. Public out cry, the Energy & Petroleum Regulatory Authority (EPRA) reinstated the subsidy which led to a decreased in its October pump price review.

  Over the years, the government has increased taxes and levies on local pump prices which have become a larger portion of the cost of petrol (see graph 11). We believe that the subsidy, which was re-introduced in October, offers a short-term reprieve to consumers. A reduction in taxes would be a more lasting solution. However, given the government's desire to increase tax revenue, the government is unlikely to choose this option thus we could soon see an increase in local pump prices.

Graph 10: Local Pump Prices




Graph 11: Breakdown of cost of super petrol




Source: EPRA

- **Prices to continue rising in 4Q21:** In 3Q21, the government introduced taxes which included the increase in excise duty ( 20% from 15%) for mobile airtime and loans.

  We expect a further uptick in headline inflation in 4Q21 mainly driven by a rise in food prices on the back of unfavourable weather conditions, the continued rise in global oil prices and imported inflation due to a relatively weaker shilling. Meanwhile, core inflation is likely to remain muted.

## Currency

- **Shilling on a loosing streak against major currencies:** In 3Q21, the shilling lost ground against the dollar depreciating by 2.39% q/q to close at 110.49 from 107.85 recorded at the end of 1H21.

Table 1: KES Performance

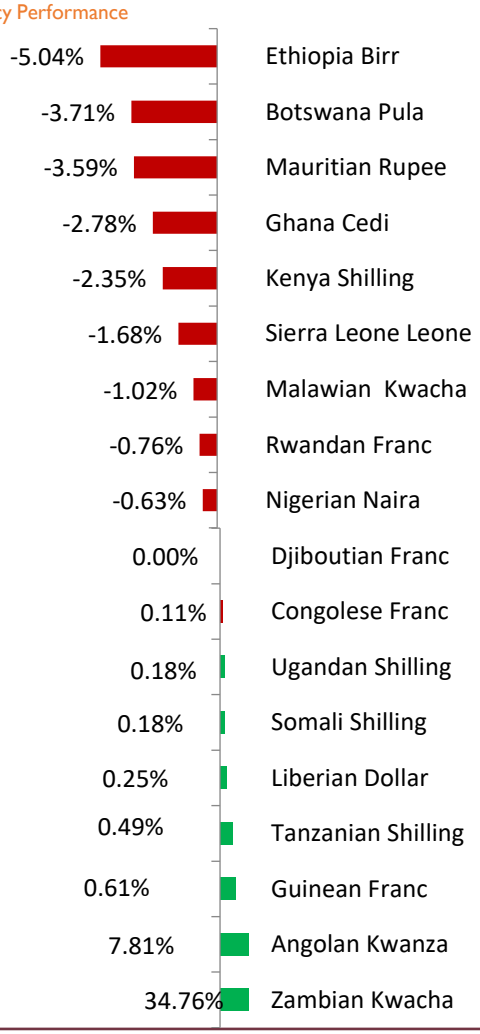
| | USD | EURO | POUND | UGX | TSH | RAND |
|---|---|---|---|---|---|---|
| 1Q21 | -0.31% | 3.83% | -1.55% | 0.26% | -0.31% | 2.04% |
| 2Q21 | 1.54% | 0.29% | 0.99% | -1.51% | 1.54% | -2.66% |
| 3Q21 | -2.39% | -0.61% | -0.29% | -2.93% | -2.76% | 2.52% |
| YTD* | -1.19% | 3.50% | -0.86% | -4.15% | -1.57% | 1.82% |

Source: CBK, AIB-AXYS Africa

The depreciation against the greenback is mainly attributed to the increased dollar demand from oil marketers as global oil prices increased while inflows form perennial dollar earning sectors such as agriculture and tourism remain low.

We expect the local currency to continue to depreciate against major currencies, as dollar inflows are likely to remain relatively low.

Graph 12:African Currency Performance




Source: Bloomberg , AIB-AXYS Africa Analyst Estimates

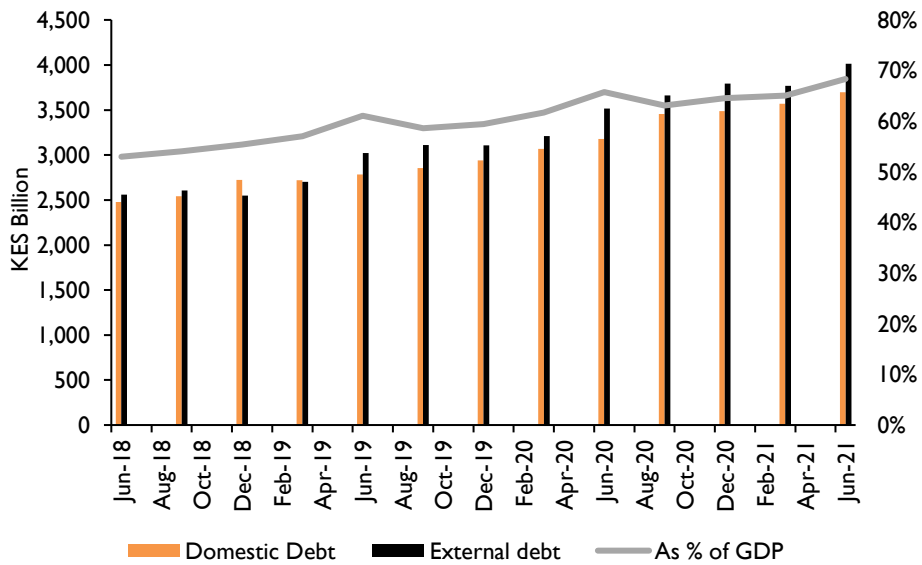
## Fiscal Policy

- **Revenue collection above target -** In Q1 of FY2021/22, government collected revenues of KES 476.65Bn ($ 4.33Bn) which was KES 14.99 Bn($ 0.13Bn) below the target of KES 461.70 Bn( $ 4.20Bn). The year-on-year growth rate of the collections were higher than those of a similar period last year. This may be attributed to improved business conditions, removal of COVID-19 relief measures and enhanced compliance measures domestically.

- **Expenditure remains within target:** During the first two months of FY21/22, total expenditure came in at KES 407.51 Bn ($ 3.70Bn), which was 76.58% of the prorated expenditure estimates of KES 532.16 Bn ($ 4.83Bn). Furthermore, net disbursements to recurrent expenditures were at 86.31% of the prorated estimates having disbursed KES 158.99 Bn ($ 1.45Bn). However, we noted with concern the minimal disbursement to development expenditure which came in at KES 32.78 Bn ($0.30 Bn), being 50.53% of the prorated estimates of KES 64.87 Bn ($ 0.59 Bn).

- **Increasing Debt:** The sustainability of Kenya's debt remains a key concern as sovereign debt levels increase. The continued depreciation of the shilling makes debt servicing even more expensive as more than 50.0% of the total debt is foreign denominated. The latest figures from the National Treasury indicate that in July, the country's total public debt stood at KES 7.71 trillion ($70.09Bn) which is 68.40% of GDP and a 15.21% increase in the corresponding period last year. Domestic debt was at KES 3.70 trillion ($33.27 Bn), while the external debt stood at KES 4.02 trillion ($36.54 billion

Graph 13: Debt-to-GDP

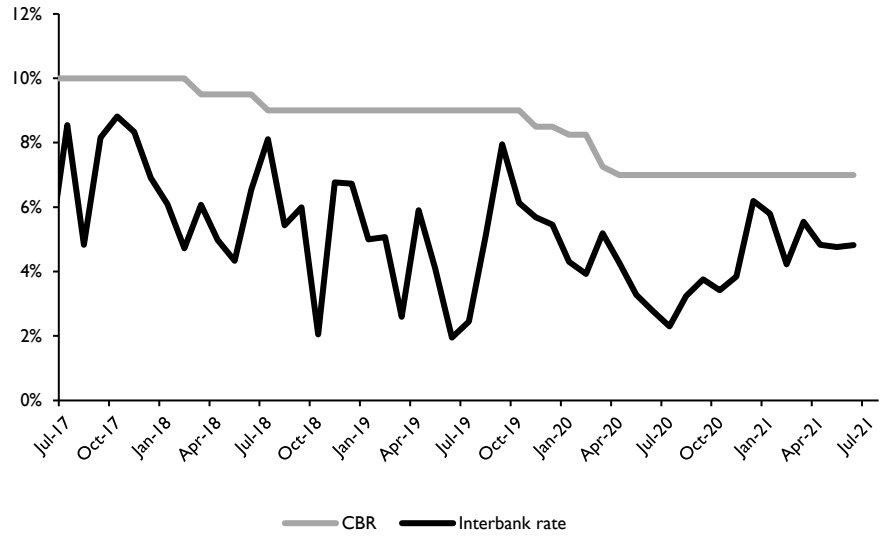



Source: National Treasury, AIB-AXYS Africa analyst estimates

## Monetary Policy

- **Accommodative policy continues:** During the quarter, the CBK monetary policy committee met twice and, in both instances, maintained the Central Bank Rate (CBR) at 7.0%. The cash reserve ratio which was reduced by 100bps last year was also maintained at 4.25%. In the November meeting, we expect the Bank to continue with the accommodative monetary policy stance

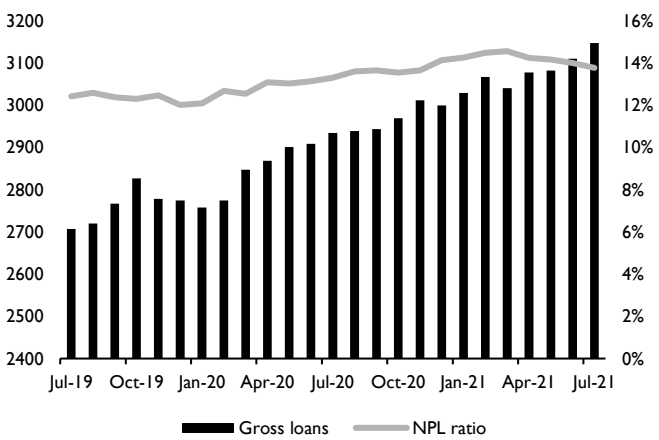
Graph 14: Central Bank Rate




Source: CBK, AIB-AXYS Africa research

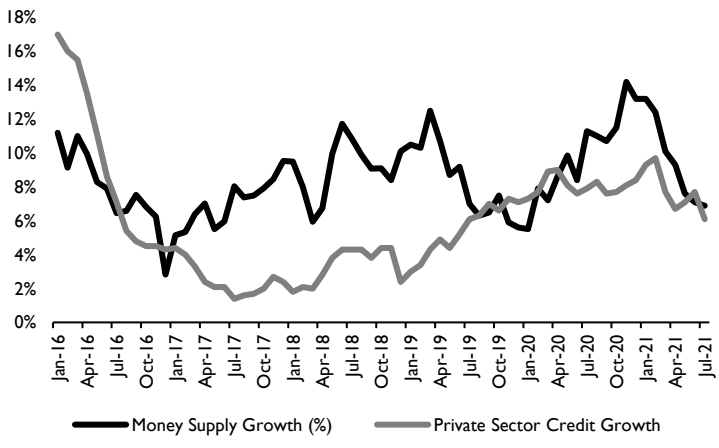
- **Reduced Private Sector Credit Growth:** During the quarter, credit growth to the private sector reduced as commercial banks' risk appetite decreased. The high Non –Performing Loans remain a source of concern. Private sector credit growth is likely to remain muted as we expect banks to continue to focus on the relatively high risk free interest rates.

Graph 15: Gross Loans and NPL Ratio




Source: CBK, AIB-AXYS Africa research

Graph 16: Private Sector Credit Growth

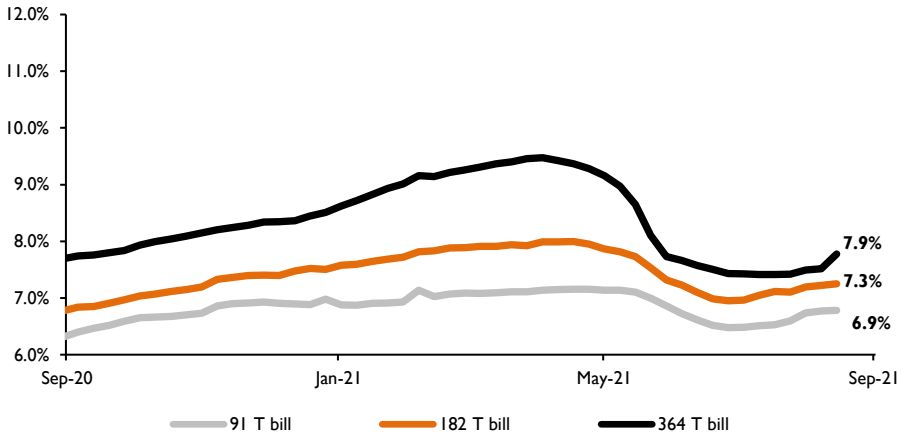



Source: CBK, AIB-AXYS Africa research

## Interest Rates Outlook

- **Gradual increase in short-term interest rate:** During the quarter, the government's appetite for debt remains elevated. CBK accepted aggressive bids thereby exerting upward pressure on interest rates. In the last quarter of the year, we expect short-term rates to continue marginally increasing.

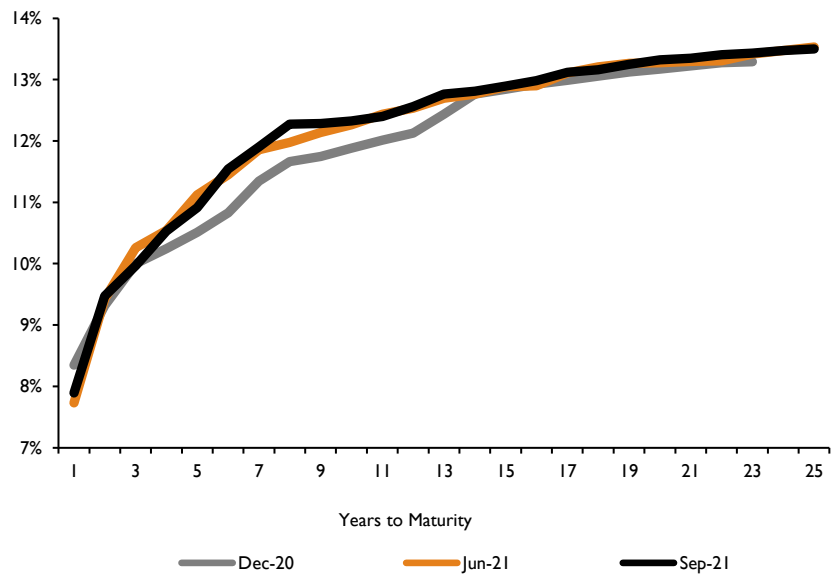
Graph 17: T-Bill rates




Source: CBK, AIB-AXYS Africa research

- **Yield curve expected to flatten:** In 3Q21, the yield curve remained relatively unchanged with a slight increase in curvature. The 8-year papers gained the most by 29.31 bps and the 3-year papers were the largest losers at 29.48 bps. In 4Q21, we expect the long end of the yield curve to remain unchanged with an upward bias while the short end is likely to marginally increase.

Graph 18: Yield curve




Source: NSE, AIB-AXYS Africa research

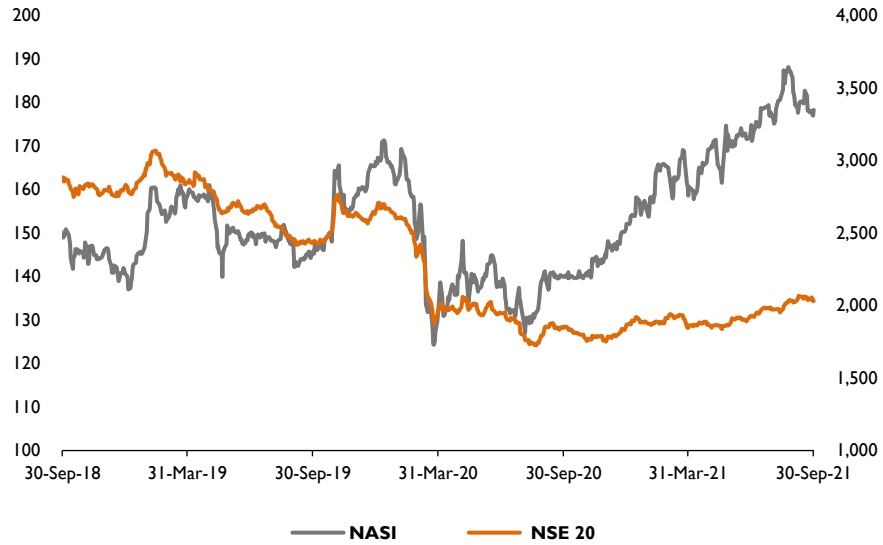
## Equity Market

➢ **NSE on an upward trajectory:** In the first three quarters of the year, the Kenyan equity market has generally maintained an upward trend.

Table 2: NSE Performance

| | Q1 | Q2 | Q3 | YTD |
|---|---|---|---|---|
| NASI | 4.3% | 9.4% | 2.8% | 17.2% |
| NSE 20 | -1.2% | 4.4% | 5.4% | 8.7% |

Graph 19: NSE Indices

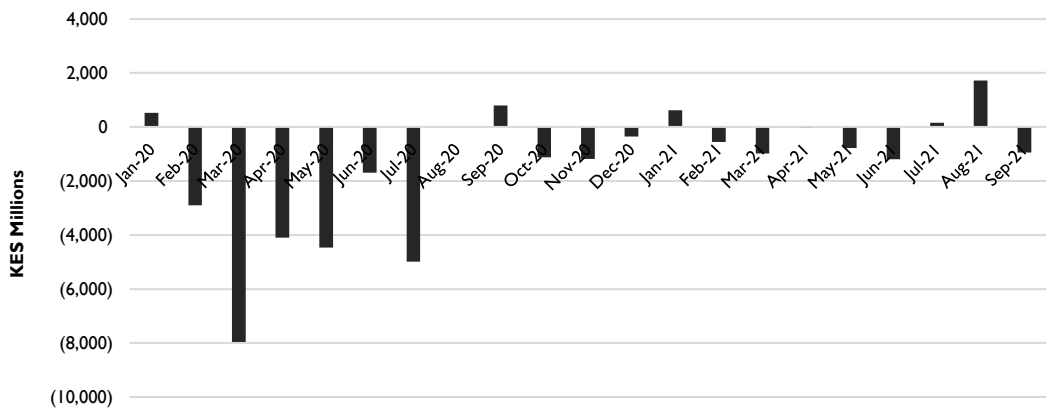



Source: NSE, AIB-AXYS Africa research

These gains have mainly been driven by improved investor sentiments as economic activity picks and an increase in local institutional investor participation.

Meanwhile, foreign investors have generally been net sellers recording net outflows of KES 1.98Bn. The net foreign investor outflows may be attributed to the depreciation of the KES, increased investor risk aversion, and profit taking on several counters.

Graph 20: Foreign investor activity



- Attribution Analysis: During the year, Safaricom, Equity Bank and KCB have been the main drivers of the NASI's gains.

Table 3: Attribution Analysis

| | Attribution Analysis |
|---|---|
| **Safaricom** | 18.24% |
| **Equity Group** | 2.21% |
| **KCB** | 1.10% |
| **BAT** | 0.62% |
| **EABL** | 0.54% |
| **Coop** | 0.48% |
| **Jubilee Holingds** | 0.24% |
| **CFC Stanbic** | 0.20% |
| **Absa Bank** | 0.12% |
| **CIC** | 0.08% |
| **WPP Scangroup** | -0.01% |
| **Standard Group** | -0.02% |
| **Standard Chartered** | -0.05% |
| **DTB** | -0.15% |

Source: Bloomberg, AIB-AXYS Africa research

- Is the rally sustainable? The gains on Safaricom have mainly been driven by investors' sentiments on the Ethiopian expansion while other counters have been buoyed by the prospects of improved earnings as economic activity picks.

  In 4Q21, improved investor sentiment is likely to drive gains in the NSE. We expect increased interest in the Banking stocks as 3Q21 results are likely to come in stronger on a year-on-year basis. The improving economic conditions will likely be reflected in the banks results as their loan books expand, asset quality improves, and provisions continue to decrease. The further easing of restrictions, continued vaccine inoculation and the increasing infrastructure spending by the government will stabilize earnings in the Manufacturing and Construction sectors leading to better results for counters such as Bamburi and EABL.

- **Is 2022 election likely to negatively affect the market?** During the past general elections, the NSE 20 has tended to register gains. 2007 was the only year that the political environment negatively affected the market, and the loss is partly attributed to the post election violence that the country experienced that year. In 2022, we expect the market to maintain its upward trajectory as improving economic conditions are likely to buoy company earnings.

Table 4: NSE Performance

| Pre-Election | NSE-20 | Election year | NSE-20 | Post-election | NSE-20 |
|---|---|---|---|---|---|
| 1991 | | 1992 | 21.81% | 1993 | 116.49% |
| 1996 | -10.30% | 1997 | 0.12% | 1998 | -4.91% |
| 2001 | -29.18% | 2002 | 0.58% | 2003 | 100.87% |
| 2006 | 42.10% | 2007 | -3.56% | 2008 | -35.33% |
| 2012 | 29.00% | 2013 | 19.20% | 2014 | 3.80% |
| 2016 | -21.1% | 2017 | 16.5% | 2018 | -23.7% |
| 2021 | 8.71%* | 2022 | | 2023 | |

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